

fund.”

“We still got a couple of thousand in the retirement fund?” asks the skeptical Henrietta.

“Of course we do,” blusters the Designated Investor. “And it’ll soon be more, thanks to your favorite store.”

“But I don’t shop at The Limited anymore,” Henrietta says. “The merchandise is overpriced and no longer unique. Other stores carry the same thing now.”

“What’s that got to do with anything,” bellows our Designated Investor. “I’m not talking about shopping. I’m talking about investing.”

Houndstooth buys the stock at \$50, near the all-time 1987 high. Soon the price begins to fall to \$16, and about halfway down, he sells out, delighted once again to have limited his losses.

IS THIS A PUBLIC COMPANY?

I’m a fine one to chide Houndstooth for missing The Limited. I didn’t buy any shares on the way up, either, and my wife saw the same crowds at the shopping mall as his wife did. I, too, bought into The Limited when the story got popular and the fundamentals had begun to deteriorate, and I’m still holding on at a loss.

Actually I could go on for several pages about the tenbaggers I’ve missed, and more sorry examples will crop up further along in the book. When it comes to ignoring promising opportunities, I’m as adept as the next person. Once I was standing on the greatest asset play of the century, the Pebble Beach golf course, and it never occurred to me to ask if it was a public company. I was too busy asking about the distance between the tees and the greens.

Luckily there are enough tenbaggers around so that both of us could fail to notice the majority and we’ll still hit our share. In a large portfolio such as mine I have to hit several before it makes an appreciable difference. In a small portfolio such as yours, you only have to hit one.

Moreover, the nice thing about investing in familiar companies such as L’eggs or Dunkin’ Donuts is that when you try on the stockings or sip the coffee, you’re already doing the kind of fundamental analysis that they pay Wall Street analysts to do. Visiting stores and testing products is one of the critical elements of the analyst’s job.

During a lifetime of buying cars or cameras, you develop a sense of what’s good and what’s bad, what sells and what doesn’t. If it’s not cars you know something about, you know something about something else, and the most important part is, you know it before Wall Street knows it. Why wait for the